BUSINESS ENVIRONMENT

Subject Code: 23A52402c

UNIT - I

Overview of Business Environment

Syllabus Topics Covered

- Introduction: meaning, nature, scope, significance, functions and advantages
- Types: Internal and External, Micro and Macro
- Competitive structure of industries (Porter's Five Forces)
- Environmental analysis (ETPS / SWOT / PESTLE)
- Advantages and limitations of environmental analysis

Tip: learn the red underlined keywords, tables and diagrams. The last page has important questions and a revision sheet.

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1. Meaning of Business Environment

1.1 What is "environment"?

The word environment comes from the French word **"environner"** which means **to surround**. So the environment of a business means everything that surrounds the business and influences its working, either directly or indirectly.

1.2 Meaning

Business environment is the **sum total of all internal and external factors, forces, conditions and institutions** which affect the functioning, growth, profits and survival of a business firm. A business does not work in a vacuum. It takes inputs (money, men, material, machines) from the environment, converts them and gives outputs (goods and services) back to the environment.

Definition - Keith Davis

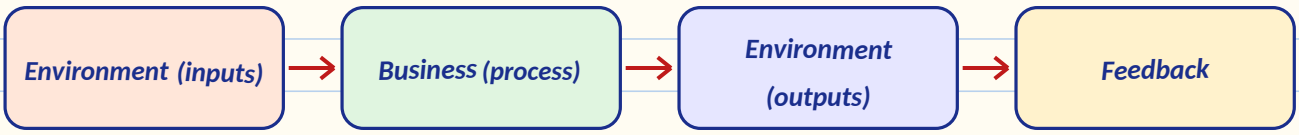
Business environment is the aggregate of all conditions, events and influences that surround and affect it.

[Definition - Wheeler] Business environment is the total of all things external to firms and industries which affect their organisation and operation.

[Definition - William Glueck] Environment is the set of external factors, such as economic, social, political, technological and legal factors, which affect the working of an organisation.

1.3 Business as an open system

A business is an **open system** because it continuously interacts with its surroundings. It receives resources, processes them, and releases outputs, and then adjusts itself according to the feedback received.



- **Inputs:** capital, raw material, labour, technology, information
- **Process:** production, marketing, finance, HR activities
- **Outputs:** goods, services, profits, employment, taxes
- **Feedback:** customer reviews, sales figures, government rules, competitor moves

1.4 Why do we study it?

- To understand the opportunities and threats present around the firm
- To identify the strengths and weaknesses within the firm
- To prepare long term plans and strategies
- To adapt quickly to changes (for example GST, digital payments, e-commerce)

Remember: Business Environment = Internal Factors + External Factors. The internal part is controllable, the external part is uncontrollable.

2. Nature of Business Environment

The nature (features) of business environment explains how the environment behaves. The main features are given below.

2.1 Features

» **Totality of external forces:** it is the sum of all forces (economic, social, political, legal, technological) taken together, not just one force.

» **Specific and general forces:** specific forces (customers, suppliers, competitors) affect a firm directly. General forces (economy, politics, culture) affect all firms in a similar way.

» **Dynamic:** it keeps on changing. Technology, tastes of consumers and government policies change fast, e.g. UPI replaced cash in many places within a few years.

» **Uncertain:** it is very difficult to predict the future environment correctly, e.g. the COVID-19 pandemic.

» **Complex:** many factors act together and are inter-related. A change in interest rates changes demand, prices and investment all at once.

» **Relative:** the environment differs from country to country and region to region. Business rules in India are different from those in the USA.

» **Inter-related:** economic, political and social factors influence each other.

» **Multi-dimensional:** it has many dimensions - economic, social, legal, political, technological, ecological.

» **Far reaching impact:** it affects growth, profit, survival and even the image of a firm.

2.2 Summary table

Feature	Meaning	Example
Dynamic	Constant change	New RBI rules every year
Uncertain	Difficult to predict	Pandemic, wars
Complex	Many factors together	Tax + inflation + demand
Relative	Differs by place	India vs Japan
Totality	All forces together	PESTLE factors

Exam Tip

In a 5-mark answer write any 5 features with one line explanation each. In a 10-mark answer add the open-system diagram and examples.

3. Scope of Business Environment

Scope means the **area or range** covered by the study of business environment. It covers all factors that influence business decisions.

3.1 Main areas in the scope

- **Economic environment:** economic system, planning, fiscal and monetary policy, inflation, income, GDP, banking and capital market
- **Political environment:** government stability, political ideology, relation with other countries, role of political parties
- **Legal environment:** company law, labour law, consumer protection, competition law, IT law, FEMA, GST law
- **Social and cultural environment:** population, age, family, education, values, customs, attitudes, lifestyle
- **Technological environment:** automation, AI, internet, digital payments, R and D, innovation
- **Natural / ecological environment:** climate, resources, pollution, sustainability, environmental laws
- **Demographic environment:** size of population, urban-rural mix, literacy, income groups, workforce
- **International environment:** globalisation, WTO, trade blocs, exchange rates, foreign investment

3.2 Scope diagram



Think

All these environments act on the firm at the same time. A good manager scans all of them regularly, because a threat in one area (a new law) can quickly become an opportunity in another (a new product).

3.3 Extent of scope

- It helps in **short term** decisions (pricing, promotion) and **long term** decisions (expansion, diversification)
- It is useful for **all types of business** - small, medium, large, domestic and multinational
- It is useful for **government** to frame policies and for **students** to study the working of the economy

4. Significance (Importance)

Business environment study is important because no business can survive by ignoring its surroundings.

4.1 Points of importance

» **Identify opportunities:** helps firms spot chances early (first mover advantage), e.g. Jio entered when data demand was growing.

» **Identify threats:** warns about danger early - new competitors, new rules, changing tastes.

» **Tapping useful resources:** a firm gets finance, labour, material and technology from the environment, so it must know where to find them.

» **Coping with rapid changes:** helps to adapt to market, technology and policy changes.

» **Planning and policy formulation:** gives data for strategies and policies.

» **Improving performance:** firms that watch the environment keep high performance and continue for long.

» **Image building:** a firm that follows laws, protects nature and serves society gets a good public image.

» **Continuous learning:** managers learn new skills and ideas by studying the environment.

» **Decision making:** reduces risk because decisions are based on facts.

Remember

Significance can be remembered as: O-T-R-C-P-I = Opportunities, Threats, Resources, Change, Planning, Image.

5. Functions of Business Environment

5.1 Functions (what the study does for a firm)

- **Scanning:** continuously watching the environment to find early signals of change
- **Monitoring:** tracking the trends found during scanning, e.g. inflation rate over several months
- **Forecasting:** predicting the future shape of the environment using data
- **Assessing:** judging the effect of each factor on the firm's goals
- **Adapting:** changing plans, products and structure to fit the environment
- **Influencing:** the firm also tries to influence the environment through lobbying, advertising, CSR

5.2 Cycle of the environment process



5.3 Explanation of functions

- **Business analysis:** the firm studies its own capacity and the market
- **Policy making:** helps the top management to make a mission, vision and objectives that suit the environment
- **Resource mobilisation:** shows where and how to collect resources
- **Risk management:** suggests ways of avoiding or sharing risk (insurance, diversification)
- **Social responsibility:** reminds the firm of its duty to customers, employees, shareholders, government and community

6. Advantages of Business Environment Study

6.1 List of advantages

» Firms get **early warning signals** of danger.
» Firms get the **first mover advantage** by quickly using opportunities.
» It helps to **tap resources** at low cost.
» It helps in **better planning** and **strategy making** .
» Improves **competitiveness** of the firm.
» Helps in **adapting** to rapid technology changes.
» Helps to **build image** with the public and the government.
» Reduces **risk and uncertainty** in decisions.
» Gives knowledge of **customer needs** , so products can be improved.
» Helps in **long-run survival and growth** .

6.2 Example

When the Government of India introduced **GST** in **2017**, firms that had studied the legal and tax environment early changed their billing and accounting systems in advance and avoided penalties, while others struggled.

6.3 Disadvantage / Limitation (brief)

- Environment is uncertain, so forecasts can go wrong
- Gathering data costs time and money
- Small firms may not have experts to analyse the data

7. Types of Business Environment

Business environment is classified in two main ways: (A) Internal and External, (B) Micro and Macro.

7.1 Internal environment

Internal environment consists of factors **within the organisation** which can be **controlled** by management. They are the strengths and weaknesses of the firm.

- **Mission, vision and objectives:** the direction of the firm
- **Organisation structure and culture:** hierarchy, communication, values
- **Human resources:** skills, attitude, motivation, trade unions
- **Physical resources:** plant, machinery, location, technology in use
- **Financial resources:** capital structure, liquidity, profitability
- **Management quality:** leadership style, decision making, image of top managers
- **Corporate image and brand value**

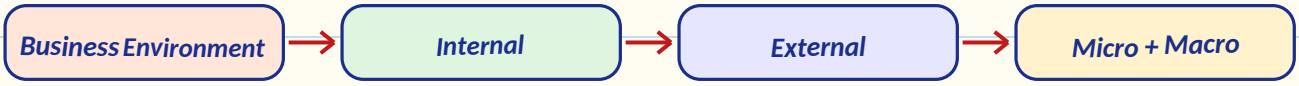
7.2 External environment

External environment consists of factors **outside the firm** which are **beyond its control**. They create opportunities and threats. External environment is again of two kinds:

Micro (Task) Environment

Close to the firm and directly affects daily operations: customers, suppliers, competitors, marketing intermediaries, financiers, public.

[Macro (General) Environment] Wide forces which affect all firms in the society: economic, political, legal, social, technological, natural, demographic.



7.3 Internal versus External

Basis	Internal	External
Meaning	Factors inside the firm	Factors outside the firm
Control	Controllable	Uncontrollable
Nature	Strengths and weaknesses	Opportunities and threats
Change	Slow, can be changed by management	Fast and unpredictable
Examples	Mission, HR, finance, culture	Economy, laws, competitors, technology
Impact	Affects the firm only	Affects the whole industry

7.4 Micro environment (Task environment) - in detail

- **Customers:** the king of the market. Their taste, income and buying habits decide sales. A firm may serve households, industries, government, or foreign buyers.
- **Suppliers:** provide raw material, power, finance and labour. Dependence on one supplier is a risk, so firms keep many suppliers.
- **Competitors:** firms selling similar or substitute products. Four types: **brand, industry, form and generic** competitors.
- **Marketing intermediaries:** middlemen such as agents, wholesalers, retailers, transporters, banks, advertising agencies.
- **Financiers:** banks, NBFCs, venture capital - decide the cost and availability of funds.
- **Public:** groups with interest in the firm - media, consumer forums, NGOs, local community, government bodies.

7.5 Macro environment (General environment) - in detail

- **Economic environment:** type of economic system (capitalist, socialist, mixed), national income, savings, inflation, interest rate, fiscal and monetary policy, business cycle, infrastructure.
- **Political environment:** stability of government, political ideology, policy towards business, relations with other nations, political risk.
- **Legal environment:** laws relating to companies, contracts, consumers, labour, competition, taxation, environment protection, FEMA.
- **Socio-cultural environment:** population, family structure, education, religion, beliefs, customs, consumer behaviour, lifestyle.
- **Technological environment:** pace of innovation, automation, AI, ecommerce, digital payments, cost of R and D, obsolescence.
- **Natural environment:** availability of raw material, climate, pollution control, sustainable development.
- **Demographic environment:** age mix, gender, urbanisation, income distribution, workforce skills.

7.6 Micro versus Macro

Basis	Micro environment	Macro environment
Meaning	Immediate surroundings	Wide general surroundings
Impact	Direct on the firm	Indirect, on all firms
Relation	Specific to a firm	Common to all firms
Control	Firm can influence partly	Firm cannot influence
Elements	Customers, suppliers, competitors	PESTLE forces
Change	Short run changes	Long run changes

7.7 Economic environment of India (important points)

- India follows a **mixed economy** - public sector and private sector work together
- Planning through NITI Aayog (replaced the Planning Commission in 2015)
- **New Economic Policy of 1991:** liberalisation, privatisation, globalisation (LPG)
- Services sector contributes the largest share of GDP
- Key schemes: Make in India, Digital India, Start-up India, Atmanirbhar Bharat, PLI schemes

7.8 Political and legal environment of India

- Democratic republic with a federal structure; policies are made by Centre and States
- Business laws: Companies Act 2013, Competition Act 2002, Consumer Protection Act 2019, FEMA 1999, IBC 2016, GST Act 2017, Labour Codes
- Regulators: RBI, SEBI, IRDAI, CCI, TRAI

Example

When the Government of India banned certain apps in 2020 and introduced PLI schemes in 2020-21, many firms had to change their strategies quickly. This shows the strong effect of the political and legal environment.

8. Competitive Structure of Industries

8.1 Meaning

Competitive structure means the **pattern of competition** within an industry. It tells how many firms exist, how powerful they are, and how profitable the industry is. The best known model is **Michael E. Porter's Five Forces Model (1979)** .

Porter's idea

The profit potential of an industry depends on five competitive forces. The stronger the forces, the lower the profit.

8.2 Porter's Five Forces



- **1. Threat of new entrants:** if entry is easy (low capital, no brand loyalty) profit falls. Barriers to entry are economies of scale, capital need, patents, government licences, brand loyalty, access to distribution.
- **2. Bargaining power of suppliers:** suppliers are strong when they are few, have unique inputs, or the firm has high switching cost.
- **3. Bargaining power of buyers:** buyers are strong when they are few and buy in bulk, products are standard, and switching is easy. They push the price down.
- **4. Threat of substitutes:** products from other industries that satisfy the same need (tea vs coffee, train vs flight). Close substitutes limit the price a firm can charge.
- **5. Rivalry among existing firms:** high when there are many equal sized firms, slow industry growth, high fixed cost, low product difference, high exit barriers.

8.3 Table of Porter's forces

Force	High when	Effect on profit
New entrants	Low entry barriers	Reduces profit
Suppliers	Few suppliers, unique input	Raises cost
Buyers	Few large buyers, easy switching	Reduces price
Substitutes	Many close substitutes	Caps the price
Rivalry	Many equal firms, slow growth	Price wars

8.4 Example: Indian telecom industry

- **Entry:** Jio entered with free offers and forced others to cut price
- **Buyers:** customers can port numbers easily, so buyer power is high
- **Suppliers:** few equipment suppliers (Nokia, Ericsson), so supplier power is moderate
- **Substitutes:** WhatsApp calls and data apps replaced voice and SMS
- **Rivalry:** very high; many firms merged or closed

8.5 Types of market structure (competitive structure of industries)

Structure	Number of firms	Product	Entry
Perfect competition	Very many	Identical	Free
Monopoly	One	Unique	Blocked
Monopolistic competition	Many	Differentiated	Free
Oligopoly	Few	Same or different	Difficult

8.6 Strategies to face competition

- **Cost leadership:** become the lowest cost producer
- **Differentiation:** give a unique product or service quality
- **Focus:** serve a narrow market segment very well

8.7 Limitations of Porter's model

- Static model: does not show change over time
- Ignores the role of government and complementary products
- Difficult to apply to very fast changing industries (digital)

9. Environmental Analysis

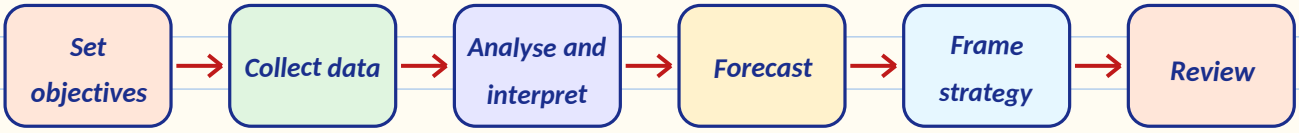
9.1 Meaning

Environmental analysis (environmental scanning) is the **process of studying all the internal and external factors** that may affect a firm, to identify **opportunities and threats** and the firm's **strengths and weaknesses**, so that suitable strategies can be framed.

Definition

Environmental analysis is a continuous process of collecting, interpreting and using information about the environment to guide the future course of action of the organisation.

9.2 Steps / process



- **Set objectives:** decide what to scan and why
- **Collect data:** from newspapers, reports, government data, surveys, internet, trade bodies
- **Analyse and interpret:** find trends, patterns and links
- **Forecast:** estimate future conditions using trend analysis, scenario building, Delphi method
- **Frame strategy:** match the firm's strengths with opportunities
- **Review and feedback:** keep checking, as the environment keeps changing

9.3 Techniques of environmental analysis

» **SWOT analysis:** Strengths, Weaknesses (internal); Opportunities, Threats (external).

» **PESTLE analysis:** Political, Economic, Social, Technological, Legal, Environmental factors.

» **ETOP (Environmental Threat and Opportunity Profile):** lists the environmental sectors and shows whether each is an opportunity or a threat.

» **Porter's five forces:** industry level analysis.

- **Scenario building:** preparing several possible future pictures (best, worst, most likely).
- **Delphi technique:** collecting expert opinions in rounds.
- **Trend extrapolation and time series:** using past data to guess future.

9.4 SWOT matrix

Strengths (Internal, +)	Weaknesses (Internal, -)
Strong brand, skilled staff, good finance	Old machines, high cost, weak R and D
Opportunities (External, +)	Threats (External, -)
New markets, tax benefits, new technology	New rivals, inflation, strict laws

9.5 PESTLE in short

Factor	Examples
Political	Government stability, tax policy, trade rules
Economic	Inflation, interest rate, GDP growth, exchange rate
Social	Population, lifestyle, education, culture
Technological	AI, automation, internet, R and D
Legal	Company law, labour law, consumer law
Environmental	Climate change, pollution norms, sustainability

9.6 Advantages of environmental analysis

- Gives **early warning** about threats
- Helps to **spot opportunities** and use them first
- Supports **strategic planning** and better decisions
- Helps firms to **adapt** to change instead of being surprised
- Improves **resource allocation** (money and people go where they are needed)
- Develops **competitive advantage**
- Reduces **risk and uncertainty**
- Builds a **learning culture** among managers
- Helps to understand **customers and competitors** better

9.7 Limitations of environmental analysis

- **Uncertainty:** the future cannot be predicted exactly, so forecasts may fail
- **Costly and time consuming:** needs money, experts and software
- **Information problems:** data may be incomplete, old or biased
- **Complexity:** too many factors; it is hard to see which one matters most
- **Subjectivity:** managers may interpret facts in a biased way
- **Rapid change:** by the time analysis is done, conditions may have changed
- **Not a substitute for action:** analysis alone does not solve problems; implementation matters

» **Small firms** lack the resources for deep analysis

Conclusion

Despite the limitations, environmental analysis is a must for survival. The firm should use it as a guide, update it regularly and combine it with good judgement.

10. Important Questions (Unit I)

Short answer (5 marks)

- Define business environment. Explain its nature.
- Explain the significance of business environment.
- Distinguish between internal and external environment.
- Differentiate between micro and macro environment.
- Write short notes on: scope, functions, advantages of business environment.

Long answer (10 marks)

- Define business environment and explain its types in detail.
- Explain the micro and macro environment with examples.
- Explain Porter's Five Forces model for analysing competitive structure of an industry.
- What is environmental analysis? Explain its process, techniques, advantages and limitations.

Quick revision sheet

Topic	Remember
Meaning	Sum of all internal and external factors
Nature	Dynamic, uncertain, complex, relative, totality
Types	Internal / External; Micro / Macro
Porter	5 forces: entrants, suppliers, buyers, substitutes, rivalry
Analysis tools	SWOT, PESTLE, ETOP, Scenario, Delphi
Limits	Uncertainty, cost, bad data, bias